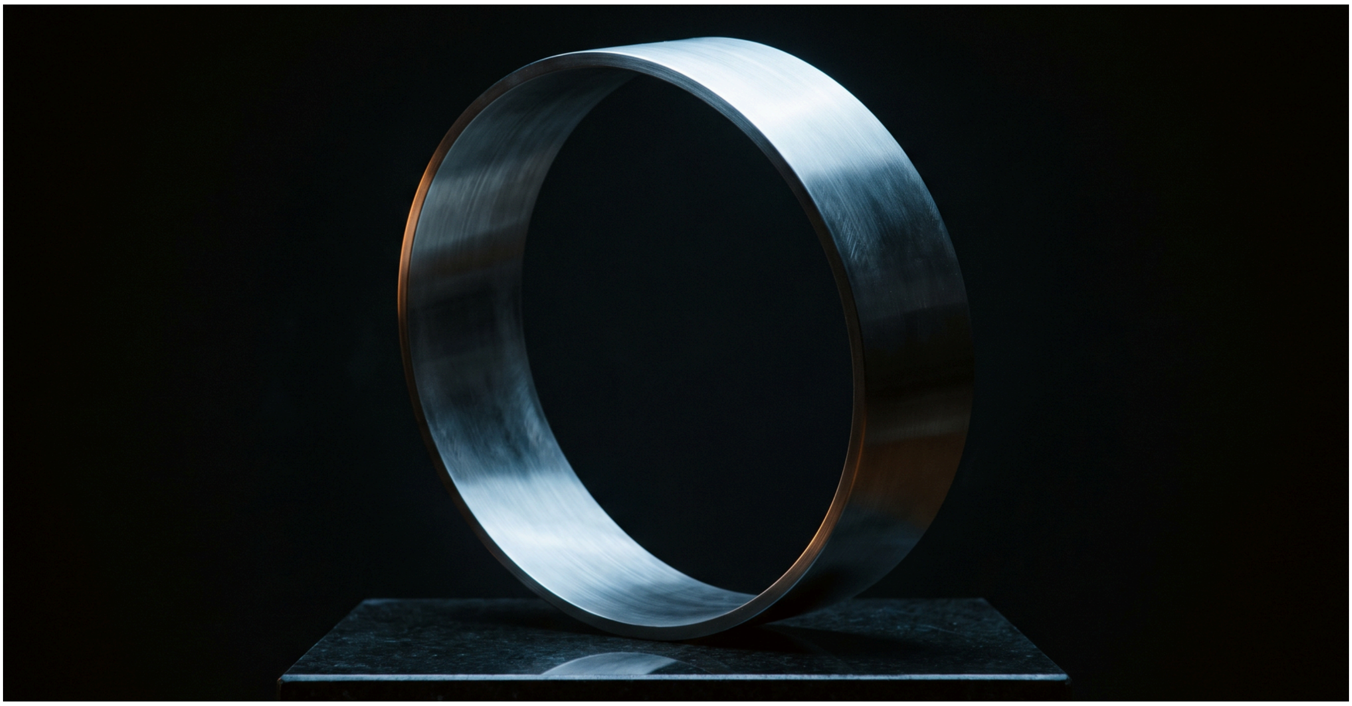

VERAX VENTURE STUDIO · OPEN METHODOLOGY · V1.0

The Value Realisation Office

Governing whether a programme was worth delivering — not merely whether it was delivered.

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Heritage	Distilled from VRO design at DMCC Uptown Dubai and governance frameworks at NEOM Sindalah

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On the name

STATED PLAINLY

The term "Value Realisation Office" is not claimed as original to this author. It is in active use across the consulting industry, and several firms publish their own treatments of it. No source establishes who used it first, and this paper makes no priority claim.

What is specific to this document is the **construct**: three operating modes running on three cadences to three audiences, a Continual Value Model chassis of seven elements, three workstreams that never close, and the insistence that the PMO sits *alongside* the VRO rather than inside it. Those are the parts worth arguing about, and the parts this paper defends.

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That statement is checkable, and it is meant to be. A methodology about evidence should carry its own.

Contents

1 The gap nobody owns

A large programme is one of the most heavily governed things an organisation does. It is also, routinely, one of the least examined.

The governance that exists is delivery governance. A programme management office tracks scope, schedule, cost, risk and dependency, and does so with real precision. It will tell you that go-live is eleven weeks away and the forecast is four per cent over budget, and it will be right.

What it does not track is whether the case for doing any of it still holds.

The benefits case is typically written once, to release funding. It is approved, filed, and rarely opened again. From that moment the organisation measures delivery against a plan and stops measuring the plan against reality. Two years later the programme ships — on time, close to budget, to specification — and nobody in the building can evidence what it returned.

The Phase-2 gap

This has a characteristic shape. Phase one completes and is celebrated. Phase two is not funded, because when the finance committee asks what phase one delivered, the honest answer is that nobody measured. The programme was governed to completion by people whose remit ended at completion.

The organisations most exposed to this are not the careless ones. They are the disciplined ones — the ones with mature delivery governance, which is precisely what allows a programme to arrive intact and unexamined.

> A programme office asks whether we are on schedule. Almost nobody asks whether we are still right.

What is actually missing

Three questions have no permanent owner in most organisations:

- **Is the business case still true?** Conditions move. The case does not.
- **Is what we built being used, and is it working?** Adoption and service quality after go-live belong to no one in particular.
- **What should we now stop?** Retirement is nobody’s job, so nothing is ever retired.

Those three questions are what the Value Realisation Office exists to own. Not as a project with an end date, but as a permanent function — because the questions are permanent.

2 VRO and PMO are different instruments

The most common failure in adopting this is to merge the two. A PMO with a value dashboard bolted to it is still a PMO.

Dimension	PMO	VRO
Governs	Delivery — timeline, milestone, budget	Value — outcome, return, evolution
Horizon	The project. It has an end date	Permanent. It never closes
Success	On time, on budget, on scope	Return realised, services adopted, satisfaction improved
Cadence	Weekly status, milestone gates	Daily, weekly, monthly and quarterly — three modes
Staffed by	Project managers	Cross-functional: operations, strategy, technology, finance
Failure mode	The project closes and the learning is lost	The VRO *is* the learning-retention mechanism
Reports to	Programme sponsor	Chief executive or board

THE STRUCTURAL RULE

The PMO does not report into the VRO, and the VRO does not report into the PMO. **They sit alongside one another and are permitted to disagree in public** — one reporting a programme green on delivery while the other reports the value case has drifted.

That tension is the mechanism, not a defect in it. Collapse the two into a single function and the delivery view will win every time, because delivery data is timely, precise and comfortable, and value data is none of those things.

When not to use this

The VRO is the wrong instrument when a programme is still in discovery and there is nothing yet to govern; when the buyer genuinely wants project management, in which case they want a PMO and should be given one; and when the engagement is a single deliverable with no continuing life.

3 The Continual Value Model

The chassis. Everything in this paper hangs on it, and its defining property is that nothing in it terminates.

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┌─ TRUE PARTNERSHIPS ──────────────────────────────────────────┐
│                                                              │
│  ┌─ VALUE REALISATION OFFICE ──────────┐   ┌─────────┐       │
│  │ Value Realisation │ Op Ex │ Adaptive │   │   PMO   │       │
│  └──────────────────────────────────────┘   └─────────┘       │
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│  ┌─ STRATEGIC IMPERATIVES ─────────────────────────┐         │
│  │ Stakeholder Reqs │ Alignment │ Goals & Ambition │         │
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│                                                              │
│  ┌─ Market ─┐  ┌─ Service Portfolio & Business Model ─┐      │
│  │ Analysis │  │ Technology Blueprint                  │      │
│  │ & Drivers│  │ Operating Model                       │      │
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│                                         ┌─ Execution ─┐      │
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Read it from the outside in. **True Partnerships** is the wrapper — the commercial and relational basis on which any of this is possible. Inside it sit the **VRO** and the **PMO**, adjacent and independent.

Beneath them, **Strategic Imperatives** act as the standing north star, refreshed on a slow cadence. **Market Analysis and Drivers** feed in from outside. The three **continuous workstreams** hold the substance of what is being governed. **Execution Planning** is the output stream — what will actually happen next.

> The VRO is not a project. It is the permanent operating system for a transformation. Projects end; the VRO keeps extracting value.

4 The seven elements

#	Element	What it is for
1	**True Partnerships**	The outer wrapper. Governance of this kind cannot be bought as a deliverable; it requires a relationship with continuing obligations on both sides.
2	**Value Realisation Office**	The body itself, running three operating modes. See §5.
3	**PMO**	Adjacent, not subordinate. Retains delivery governance in full.
4	**Strategic Imperatives**	The standing north star: stakeholder requirements and alignment quarterly, goals and ambition annually.
5	**Market Analysis & Drivers**	Four input feeds: market and technology trends, benchmarks and best practice, customer analysis, and policy and regulation.
6	**Three Continuous Workstreams**	Service portfolio and business model, technology blueprint, operating model. See §6.
7	**Execution Planning**	The output stream. See §7.

The input feeds, and their cadence

Feed	Source	Cadence
Market & technology trends	Analysts, vendor roadmaps, peer benchmarks	Continuous
Best practice & global benchmarks	Sister assets, comparable estates, standards bodies	Quarterly
Customer analysis	Occupant surveys, sentiment data, net promoter score	Continuous
Policies & regulations	Legal and compliance, government rules, regulatory change	Continuous

The feeds matter because without them the Adaptive mode has nothing to work with. A VRO with no external input degrades into an internal reporting function inside a year.

5 Three operating modes

One body, three distinct jobs, on three cadences, to three audiences. Attempting all three in a single monthly meeting is the second most common failure.

Mode	What it does	Cadence	Audience
Value Realisation	Tracks return, cost savings and operational outcomes against the original business case	Continuous, reviewed monthly	Chief financial officer, chief executive, board
Operational Excellence	Drives day-to-day quality, service-level adherence and KPI monitoring	Daily and weekly	Operations director, facilities management
Adaptive / Evolving	Spots new opportunity, retires obsolete services, refreshes the priority matrix	Quarterly	Chief technology officer, innovation, strategy

Why the separation is load-bearing

The three modes answer questions that operate on incompatible timescales. Service-level adherence is a daily concern and a monthly irrelevance. Return against business case cannot be assessed weekly and is meaningless quarterly if nobody has been collecting. Retirement decisions require distance and cannot be taken in an operational meeting where the people present built the thing.

They also have different audiences, and audience determines what can be said. An operations review with the board present becomes a status report. A value review with the operations team present becomes a defence.

THE MODE THAT GETS DROPPED

Adaptive is the mode organisations quietly stop running. It is the only one with no immediate consumer — nobody chases a quarterly retirement review — and it is the only one that can recommend stopping something.

A VRO running two modes is a reporting function. The third is what makes it governance.

6 Three workstreams that never close

These hold the substance being governed. Each is refreshed on a cadence rather than completed.

6a · Service portfolio and business model

Component	What it is	Refresh
Business requirement	What each service must deliver	Per service change
Service catalogue	The live, ranked list	Quarterly
Commercialisation strategy	How each service makes or saves money	Annually
Go-to-market strategy	How each service reaches its users	Annually
Business case	The rolled-up return story	Quarterly

6b · Technology blueprint

A layered service reference architecture — access and presentation, application, data, service platform, infrastructure — with cyber-security as a cross-cutting concern owning its own column rather than a row. The blueprint is governed, not merely drawn: each layer has an owner and a refresh trigger.

6c · Operating model

Component	What it governs
Capabilities & skill requirements	What the operations team must learn
Sourcing strategy	Make, buy or partner, per service
Partnership strategy	Who the organisation is tied to, and why
Partner selection framework	How new vendors are chosen
Partner management	How existing vendors are governed
Governance model	The VRO’s own rules of engagement
Service lifecycle management	Birth, live and retirement for every service

Service lifecycle management is the component most often absent. Without an explicit retirement path, a service catalogue only grows, and a catalogue that only grows eventually consumes the operating budget that was supposed to fund the next thing.

7 Execution planning

The output stream. What the VRO actually produces, and how often.

Output	What it is	Refresh
Innovation stimulus — the model office	A protected space for experimentation; a living lab	Always on
Implementation roadmap	Twelve-month rolling plan	Monthly
Risk management plan	Live risk register	Monthly
Investments forecast	Three-year capital and operating forecast	Quarterly
Proofs of concept	Pilot pipeline — what is coming, what is being decommissioned	Quarterly

Note that the pilot pipeline explicitly tracks decommissioning alongside arrival. A pipeline that only records what is starting will produce a portfolio nobody can afford to run.

THE MODEL OFFICE

A protected experimentation space matters because the alternative is experimenting in production, which operations teams correctly resist, or not experimenting, which is how an estate ages. Giving innovation somewhere legitimate to happen is cheaper than either.

8 Standing one up

Phase 1 — Design · two to three weeks

#	Activity	Output
1	Map existing governance — establish who already does what	Governance landscape map
2	Identify which modes are already performed, usually informally	Gap assessment
3	Draft the charter: purpose, membership, cadence, decision rights	Charter
4	Map the three workstreams onto real services and systems	Workstream mapping
5	Define input feeds — what exists, what must be built	Data source register
6	Define the output stream and its consumers	Reporting framework
7	Identify the VRO's physical home	Space brief
8	Produce the setup proposal	Setup proposal

Step two is the one that determines whether this succeeds. Most organisations already perform Operational Excellence informally and perform no other mode at all. Naming what already exists converts the VRO from an imposition into a completion.

Phase 2 — Stand-up · four to eight weeks

Membership is assigned by the buyer, never by the adviser. Dashboards are built per mode. The first monthly value review, the first weekly operational review and the first quarterly adaptive review are all run inside this window — deliberately, because a cadence that has not run once will not survive contact with a busy quarter. Input feed schedules are agreed with the data owners by name, and the first rolling roadmap and investment forecast are published.

Phase 3 — Steady state

Ongoing, and covered in §9.

9 Steady-state cadence

Cadence	What happens	Who attends
Daily	Operational stand-up: service-level adherence, incident review	Operations team
Weekly	Operational review: KPI trends, escalation, actions	Operations and facilities director
Monthly	Value realisation: return tracking, business case actuals, executive brief	Full VRO membership
Quarterly	Adaptive: priority matrix refresh, technology assessment, input feed review	VRO, strategy, C-suite
Annually	Strategic imperatives refresh: goals, ambition, stakeholder requirements	Board and chief executive

The cadence is the framework. An organisation that adopts the language and not the rhythm has adopted nothing — the whole apparatus exists to force a particular question in front of a particular audience at a particular interval, and removing the interval removes the mechanism.

10 The Value Realisation Scorecard

The monthly artefact. It is deliberately short, and it is deliberately uncomfortable.

Programme overview

Metric	Target	Actual	Trend	Status
Cumulative return realised	—	—	—	—
Services live	—	—	—	—
Services in pilot	—	—	—	—
Occupant satisfaction	—	—	—	—
Energy reduction	—	—	—	—

Service-level detail

Per service: business case return, realised return, the gap, and either an action or an explicit statement that it is on track.

The two lists that make it work

- **Underperforming services**, each routed to Adaptive mode with a proposed action.
- **Overperforming services**, each routed to Execution Planning for expansion.

Both lists are mandatory and neither may be empty by convention. A scorecard with no underperformers is not a good month; it is an unexamined one.

Closing sections

A one-line summary from each of the four input feeds, and a numbered list of decisions required, each with a named owner and a date. The scorecard is not a report if it ends without asking for something.

11 Where it sits among adjacent methods

The VRO is a meta-governance layer. Other methods produce the work; this one ensures the work keeps returning value.

Method	The VRO's role
Smart Services Advisory *(the HOW)*	Governs the scored service catalogue, architecture and operating model that the advisory phases produce
Smart City Operations *(the RUN)*	Governs the domain scorecard and cross-agency interoperability outcomes
Innovation Ecosystem *(the WHAT)*	Adaptive mode consumes the innovation pipeline; the model office is the living lab

The four close on each other. Innovation Ecosystem determines what should be built; Smart Services determines how; Operations runs it; and the VRO governs whether it continues to be worth running, feeding what it learns back into ideation.

None of the first three requires this one to function. But each of them, delivered without it, produces an artefact that degrades from the day the advisers leave — which is the condition this paper was written to address.

12 Failure modes, and one test

The four ways this goes wrong

1. **Merging it with the PMO.** Delivery data is timely and precise; value data is neither. In a single body, delivery wins every meeting.
2. **Running two modes.** Adaptive is dropped first because nobody chases it. It is also the only mode that can recommend stopping something.
3. **Adopting the language without the cadence.** The interval is the mechanism. A quarterly review held annually is not a slower version of the same thing; it is a different thing.
4. **No external input.** Without the four feeds, the VRO becomes an internal reporting function within a year, and reports on itself.

The test

ONE QUESTION

When did someone in your organisation last formally recommend stopping a programme that was delivering to plan?

If the answer is never, there is no outcomes governance in the building. There is a programme office, and there is hope.

The question works because stopping a healthy programme is the single hardest recommendation in corporate life, and the only body structurally capable of making it is one whose remit is value rather than delivery, whose horizon does not end at go-live, and which reports somewhere other than to the programme's own sponsor.

Build that, run all three modes, hold the cadence, and the question stops being rhetorical.